S&P Capital IQ

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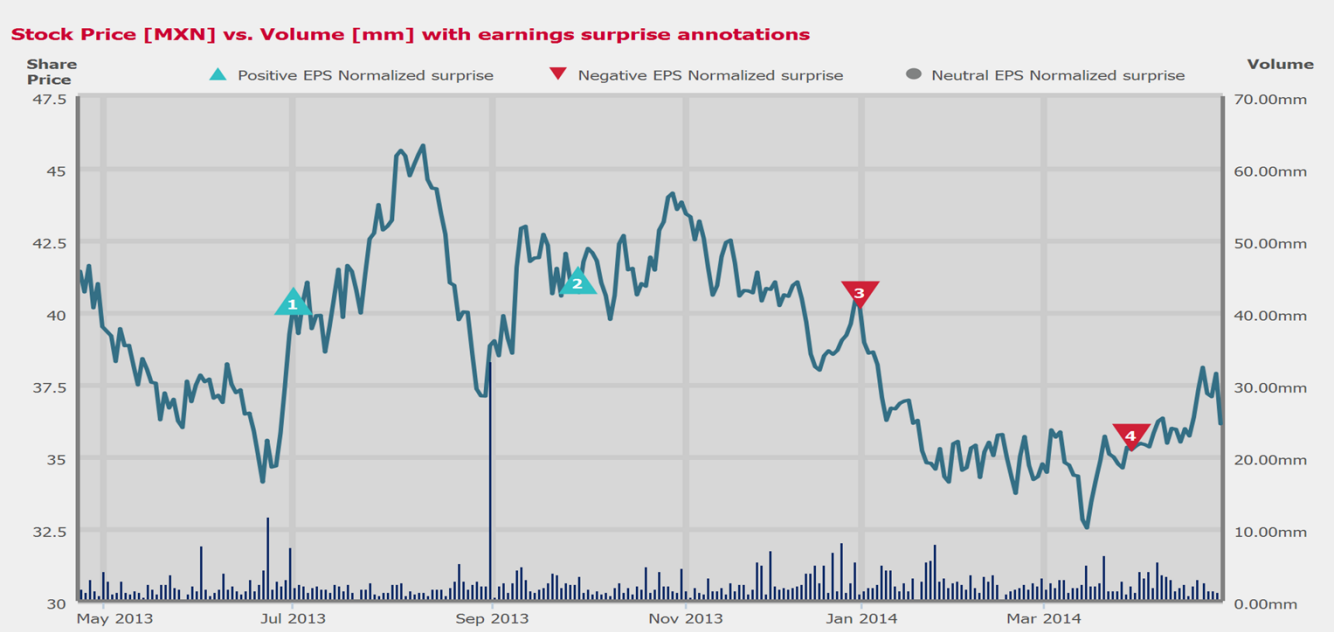
FQ2 2014 Earnings Call Transcripts

Wednesday, July 23, 2014 1:30 PM GMT

S&P Capital IQ Estimates

	-FQ2 2014-			-FQ3 2014-	-FY 2014-	-FY 2015-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	0.26	0.34	▲25.93	0.40	1.21	1.59
Revenue (mm)	46279.48	45539.53	▼(1.60 %)	50874.03	191356.76	201774.15

Currency: MXN
Consensus as of Jul-23-2014 5:10 AM GMT



- EPS NORMALIZED -

	CONSENSUS	ACTUAL	SURPRISE
FQ2 2013	0.20	0.22	▲1 10.00 %
FQ3 2013	0.17	0.32	▲2 88.24 %
FQ4 2013	0.32	0.27	▼3 (18.18 %)
FQ1 2014	0.16	0.11	▼4 (31.25 %)

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Presentation

Operator

Good morning, everyone, and welcome to Grupo Bimbo's Second Quarter 2014 Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Thank you very much. Good morning, everyone, and thank you for joining us. I am here with several members of our finance and management teams, and as usual, we will take a few minutes to review key highlights from the quarter and then take any questions you may have at the end.

This was a good quarter for Grupo Bimbo, showcasing the strength of our most recent acquisition just 5 weeks post consolidation, trending volume improvements in Mexico, meaningful process on the transformation plan in the U.S. and better performance in our other operations. We also successfully placed $1.3 billion in bonds that helped strengthened our financial profile and after the close of the quarter, announced our entrance into Ecuador with the acquisition of Supan, the leading bakery in that market.

As you saw on our earnings release, we aligned our regional operations with the consolidation of Canada Bread, where the integration process had been running very smoothly and our teams working well together. We are extremely pleased with the quality of that operation. The Fresh Bakery business in Canada and frozen bread business in both Canada and the U.S. will be together with BBU for reporting purposes. So we have renamed the region, U.S. and Canada. Meanwhile, the U.K. bakery business has been combined with the Iberian operations to form the European region.

With that said, let's look at performance by region, starting in Mexico. Sales were slightly down on the impact of the new IEPS tax that has been in place since the beginning of the year, which has resulted in a more cautious consumer and tougher industry dynamics, combined with the pricing actions implemented in late 2013. So volumes in our domestic market were still below those of last year. Nonetheless, the gap has narrowed on a consecutive basis, down 3% over the year ago period compared to 6% in the first quarter. This is an indication of a more stable consumer environment but perhaps even more so of our multipronged commercial efforts that include targeted promotions and marketing campaign, better execution at the point-of-sale, new launches, ongoing product innovations and introductions of multiple presentation sizes to make our products more accessible for a range of budgets.

On the operating side, we benefited from lower average raw material cost, improved productivity and additional savings across the supply chain that helped compensate for the lower absorption of fixed cost mainly in distribution because of the aforementioned soft volume performance. I should note again, that this pressure was lower than in the first quarter, and we generated a 1.5 percentage point expansion in the operating margin over the second quarter of last year.

Moving on to the U.S. and Canada. Sales rose almost 8% in peso terms, primarily reflecting the Canada Bread acquisition. Nonetheless, we saw 4% decline in organic sales in dollar terms, 2 percentage points of which is attributable to the ongoing impact of divesting our Sara Lee operations in California almost a year ago. The commercial bread category remains challenging with the reentry of the Hostess bread brands.

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Our own branded business remains stable but private label volume, which we supply to certain customers, is down 7% with softness across several of these customers.

We remain focused on delivering innovative new products and introducing new or acquired brands into more markets to optimize the portfolio and narrow the volume decline. For example, I can point to the continued growth in Nature Harvest, Nissin, Beefsteak and organic gluten-free options in the bread category; continued growth in the Entenmann's and Sara Lee snack cake; and expansion of the Barcel and Ricolino snack lines.

The slight 40 basis point decline in operating margin reflects the impact of lower volumes, which were partially offset by the benefits of ongoing waste elimination projects and Canada Bread's lower SG&A structure. As you know, restructuring costs related to the acquired assets are utilized to drive productivity across the operation through the optimization of our distribution network and reconfiguration of our manufacturing assets, with 15 facilities having closed since our acquisition of Sara Lee 2.5 years ago and the building of 2 new state-of-the-art plants.

During the quarter, we closed the Vernon plant in California, and we announced the closure of another one, Bay Shore in New York, for the third quarter. We remain on track with these initiatives, and we'll continue to balance driving growth and waste elimination to improve margin.

Moving on to Latin America. I am pleased to report stronger sales in almost every country in the region. Performance was driven by a more robust product portfolio, new packaging and greater penetration in key sales channels. Furthermore, during the quarter, the region posted an important 95% cut in its operating loss, reflecting more efficient operations in almost every country and a stable Brazilian operation after completing the restructuring process of last year.

Lastly, looking at Europe. I'm pleased to report continued progress in Iberia, driven by our efforts to transform the business with new product launches, successful brand differentiation and solid execution at the point-of-sale. These, combined with the benefit of our new U.K. business, help push sales up 29% in peso terms. Furthermore, with good progress optimizing our cost structure, performance at the operating level resulted in a 45% reduction in losses for the period.

In terms of our balance sheet, we were gratified by the market response to our recent bond issue. Our financial position at the end of the quarter reflected increasing debt due to the financing of the Canada Bread acquisition that closed on May 23, coupled with a temporary increasing cash arising from proceeds of the bond issuances that were used to pay down debt immediately after the close of the quarter. Given that timing, I prefer to look at our pro forma ratios to give you a more accurate sense of our financial position, which then allows us to capture 11 months of pro forma EBITDA at Canada Bread.

On that basis, pro forma total debt to EBITDA stood at 3.1x, and I believe our strong commitment to delevering, which is evidenced by our track record on previous acquisitions, will bring us to more comfortable ratio within the next 2 years. Looking forward, we expect a stronger second half that will reflect top line gains driven by the commercial initiatives I outlined earlier, especially in Mexico and the U.S. and Canada, positive contributions from Canada Bread and the Ecuador acquisition and ongoing profitability improvements in Latin America and Europe.
There will still be challenges of course across all markets, including the continued impact of the special tax in Mexico, the transformation of the U.S. business, competitive dynamics also in the U.S. and the integration of acquired businesses. But we're confident the measures we're implementing will support growth and profitability over the long term. At this point, I have concluded my remarks this morning, so we're ready for the question-and-answer session.

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Question and Answer

Operator

[Operator Instructions] And the first question comes from Fernando Ferreira of the Bank of America Merrill Lynch.

Fernando Ferreira
BofA Merrill Lynch, Research Division

I had 2 questions. I think first one, just would like to understand a little bit better how much you benefit already from the lower wheat prices that we are seeing or not, and what can we expect in terms of margins for the second half in the U.S. and Mexico. Do you expect the same sort of margin expansion you had in Q2? Or you think margins will accelerate even more given this raw material outlook? That will be the first question.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Okay. On the wheat, I would say that we are on with our policy of hedging, the natural time that we have set for and we've already commented in the past. And as you can see, in the commodity market, there's a little bit more stability. So we're trending basically the same. No major comments there.

Fernando Ferreira
BofA Merrill Lynch, Research Division

But do you feel more confident with the second half, I mean, given how well you executed in Q2 and looking at the raw material outlook?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes. As -- so what we've mentioned before that we basically hedged anywhere from 3 to 9 months -- 4 to 9 months and we're within that policy. We're not seeing big jumps in our commodity costs or differences. Our focus more is on regaining volume, especially in the 2 major units that we have.

Fernando Ferreira
BofA Merrill Lynch, Research Division

And then the second question is on Bimbo U.S. Just wanted to understand a little bit better the volume trends that you saw during the second quarter and the first half. I mean it appears that the pricing for the sector is too pretty promotional, right, very focused on promotion, also given this benign raw material outlook. So if you could comment a little bit better, the volume trend and market share please.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

I will refer that question to Fred Penny, our U.S. President. Fred?

Alfred Penny
President of Bimbo Bakeries USA Inc

Thanks for the question. I would say in terms of the second quarter and even the first half, overall, I think we'd say we're satisfied. I'm certainly satisfied with how our branded business -- branded bread business has performed in the U.S. from a share standpoint and a volume standpoint given the more competitive market dynamics. As you know, we've got the former Hostess Brands back in the market in the first half of this year. And to the extent that the market has essentially flat to -- call it flattish to maybe a bit down overall volume performance, that makes the market more competitive. But I think from our standpoint, we're very comfortable with how our brands have responded. And so I'd leave it at that.

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Operator

And our next question comes from Nikolaj Lippmann of Morgan Stanley.

Nikolaj Lippmann
Morgan Stanley, Research Division

Two -- three questions, actually, if I may. First in the U.S., Fred, I was -- we would -- we're looking -- you're increasing your synergies, we were looking for a bit of a margin expansion. The -- as far as we can see, promotional activity is down. You will probably be facing a period of lower wheat over the next couple of quarters. You didn't have any margin expansion this quarter. Can you give us a bit of a -- would it make sense to think about a bit of a margin expansion for the second half? So that's the first question. The second question is sort of just a curious question. Can you just expand on -- you mentioned the gluten-free, what is the percentage of your products that are gluten-free? And then, finally, a question on LatAm, you've been doing a number of restructurings in LatAm. I think we counted 4 out of last 10 quarters. Have you thought about a plan B there? Maybe a local partner, a local private equity fund? Is that something that is at all on the table here? Those are my questions.

Alfred Penny
President of Bimbo Bakeries USA Inc

Nikolaj, I'll take the first two. We had a -- I'd say the first quarter in particular was challenging given the stresses of the winter. And that actually affected some of the commodity benefits we expected to get, so I think we -- I expect some performance improvement in the second half of the year going forward. And I expect that there'd be a bit more stability in the category as we go forward as well. Relative to gluten-free and organic, they're relatively small parts of our portfolio today, but clearly, there are consumer dynamics in both of those cases that suggest that there's ongoing growth there, and so we're focused on trying to expand in those categories.

Nikolaj Lippmann
Morgan Stanley, Research Division

Got it. Do you think -- could you say it's less than 5% today? Or is it above 5% of the U.S. sales?

Alfred Penny
President of Bimbo Bakeries USA Inc

I'd say it's less.

Nikolaj Lippmann
Morgan Stanley, Research Division

It's less, okay. And on LatAm?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, Nikolaj, this is Guillermo, good morning. Really what has happened is that this year, we didn't experience any impact from restructuring in LatAm. The last important charge we had was last year during the second quarter, so we actually consider the Brazilian -- specifically the Brazilian operation, already restructured. And we are just aiming for a much better and efficient operation but charges -- special charges, as you can see, are not present. Actually, as you can see, the total of external charges is -- this year is much less than last year and completely related to the integration of the BBU integration efforts.

Operator

And our next question comes from Alex Robarts of Citigroup.

Sergio Matsumoto

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It's Sergio Matsumoto from Alex Robarts' team. I just wanted to go back on the gross margin in Mexico, in particularly Mexico. In the second half of this year, I think we'll be lapping a very strong gross margin in Mexico. So could you tell us how we should think about the gross margin in Mexico?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes, as mentioned before, our hedging strategy is -- must cover basically the rest of the year regarding the price of wheat, but something we cannot take care of directly, the level of exchange rate. Really what we're having now is, as Daniel was saying before, a stable price of wheat but together with the stable exchange rate peso-dollar. So if that -- if those 2 variables continue to behave as we would like to, the answer is yes, we would be enjoying even a bit lower cost of raw materials even compared with the previous year's experience.

Sergio Matsumoto

So is that for the third quarter or also for the fourth quarter?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

No. Basically, we are hedged for the second half of the year and depending on the exchange -- of the peso-dollar exchange rate, we'll be enjoying a stable and a bit lower raw material cost compared to last year.

Sergio Matsumoto

Okay. And just -- and my second question is on the decelerating sales trend in the U.S. And as you mentioned that the market is flattish to slightly negative, and you also mentioned a 7% decline in private labels. Could you tell us how structural are these declines in private labels? Is it competitive pressure that's intensifying? And if you could also comment about the breakfast occasion category, which we understood to be growing relatively faster than the other categories. But to what extent is the carbohydrates-to-protein consumption shift affecting your sales?

Alfred Penny
President of Bimbo Bakeries USA Inc

Daniel, I'll take that if you'd like me to. Sergio...

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Go ahead.

Alfred Penny
President of Bimbo Bakeries USA Inc

First, let me talk about breakfast. We have a fairly significant business in the breakfast segment with our Thomas brand, and breakfast is performing very well for us this year. And so we're -- we feel good about that. The private label volume decline is, quite frankly, I would say a bit of a surprise in that it wasn't -- we didn't see those trends last year. I think a number of things have happened. Food inflation in other segments, especially in protein, meats, the price of meats, higher energy costs, higher health and welfare cost, they're all affecting the lower-income consumers and a significant reduction in SNAP in food stamp benefits. And I think some of those economic forces are affecting the lower-income consumers, and that may be part of what's playing into private label volume softness in some cases.

Operator

And our next question comes from Akshay Jagdale of KeyBanc.

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

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I wanted to ask about the U.S. Just can you talk a little bit about the -- you mentioned the competitive environment and regarding the private label share. So first question is on private label share, if the category is sort of flat to down slightly and private label down 7% for you guys, I was interpreting some of that weakness might be as a result of Wonder gaining some shares or maybe some consumers who have switched to private label while Wonder was out of the market or switching back. So one, is that your interpretation? And two, can you just talk about the specifically the competitive environment? What are the promotion levels that you're seeing? Has that increased or decreased right now compared to like last quarter or last year? That would be helpful.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Fred, go ahead, please.

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes. Private label shares are down this year, year-to-date, and some of the branded shares are up. And so there -- I think there is -- the share data would suggest the shift -- some shift from private label to branded. And clearly, with the former Hostess Brands back in the market, as I mentioned earlier in a flat to slightly down market, that's going to result in volume and share moving around. And so that's just the reality of what's taking place in sliced bread at the moment. I'm sorry, there was another piece of the question? If I...

Akshay S. Jagdale
KeyBanc Capital Markets Inc., Research Division

Yes. It was about -- when you say competitive activity, people look at the net pricing, but I think what's probably a better sense is promotional activity. And with capacity having rationalized both by you and Bimbo and Flowers, it seems like that should be improving. And your comments -- I interpreted your comments as being it's gotten more competitive. So can you just help parse those 2 comments out?

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes. And I would say it has become -- it has gotten more competitive, and that's a function, in my view, of 2 things: one, customers and the providers and the players looking for sales; and two, in the commercial sliced bread segment, the fact that year-over-year, there are more brands in the market, and it is more competitive for that reason.

Operator

And our next question comes from Miguel Mayorga of GBM.

Miguel Mayorga Tena
GBM Grupo Bursátil Mexicano, S.A. de C.V. Casa de Bolsa, Research Division

I have 2 questions. The first one is related with mix [indiscernible]. I was wondering if you could give us more color regarding the volume improvement that you mentioned during the quarter and if you could give us your expectations for the remaining of the year. And the second question is related with BBU. And I would like to get more color also about volumes, specifically organic volumes and your expectations for the second half of the year. And if you could share with us an idea of the level of EBITDA margin, excluding Canada Bread acquisition.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Okay. On the Mexican side, what can I tell you is the numbers are there. We are expecting -- I would say we and the rest of Mexico is expecting a second semester that's better than the first one. And there are reasons why we all believe it's going to be better. But this is a gradual thing and volumes are expected to

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be better but we're cautious. We have been more bullish in general about the Mexican economy since the beginning of the year and the pace has been slower than anticipated. On the questions on the margins, we -- as we've mentioned also, we're just grouping back the 2 countries together, so we will only provide the numbers on the regions.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

Yes. And additionally, I don't have the numbers here but remember that it's only 1 month. So for the -- the impact of the Canada numbers are low in the quarter, are much lower in the first half of the year.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

On the second one, Fred, do you want to take it again, please?

Alfred Penny
President of Bimbo Bakeries USA Inc

Yes, absolutely. We're looking for continued strong performance of our [ph] breakfast segment, it's a big piece of our portfolio; improvement in the back half of the year in our sweet goods business in our premium bread segment; and we're cycling -- we're fully cycling the California divestiture. So I'd look for improving volume trends, organic volume trends.

Operator

And our next question comes from José Yordán of Deutsche Bank.

José Juan Yordán
Deutsche Bank AG, Research Division

I just have one question. If you remember in the last call, we spoke about the -- a budget for integration cost in the U.S. for the year of somewhere in the hundred and some million dollars. So far in the year, it's already over $90 million. So I was just wondering whether that number had changed or is just the timing issue and they're basically going to recede quite significantly in the second half of the year.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Fred, go ahead, please.

Alfred Penny
President of Bimbo Bakeries USA Inc

We've -- I'd say we're comfortable with the budget. We did accelerate. We have accelerated some key projects to capture synergy savings more quickly. I mentioned in the last call, at that time, we have just announced the closure of the Bay Shore bakery that was a significant project that fell into the second quarter. And we've also taken the opportunity to accelerate some of our route integration work, which will, again, drive benefits as we get into the back half of this year and into 2015.

Operator

And our next question comes from Pedro Deluc (sic) [Pedro Leduc] of JPMorgan.

Pedro Leduc
JP Morgan Chase & Co, Research Division

The question would be in regards to Mexico where we saw gross profits rise 6%, flat sales with rough profits 6% and then EBITDA 10%. We were surprised to see the SG&A efficiency despite flat revenues. So if you could elaborate a little bit on what drove these SG&A savings and if we should see similar performance in the later half of the year or it was just more a one-off for this quarter.

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Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Pedro. Let me tell you that I'm pleased with the performance of our Mexican operation given the reduction in volume. So yes, we've been able to get savings on the raw materials, on the -- also the fixed costs, and we're streamlining our operations in all areas. Even if we're doing that, we're still investing. We're changing our case system the way we transport bread products all over the country. So that is -- we're investing and we're expensing that investment in these cases, but it will bring along productivity gains in the remainder of the -- not exactly this year but mostly 2015. So we're pleased with where we're standing. We're, I would say, seeing that we'll have a good second quarter -- second semester next -- we're comparing against a tougher second semester of last year during the remainder of the year. So that's the only point I would like to also mention. Last year was a very good year for Mexico as well, the second half.

Pedro Leduc
JP Morgan Chase & Co, Research Division

All right now, very good. And if I may, on the follow-up, the sales -- the flat sales we see, we understand as volumes are still down year-over-year, but you've been able to offset it with a different SKU strategy and probably selective pricing. But do you -- and you made comments that volumes are slightly improving. Could this scenario favor another or an actual inflation price increase later on in the year? Or is it that ruled out at this moment, especially in the light of the retail pressure we're seeing in the country?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

In Mexico, we're very cautious about the consumer -- the way the consumers are feeling about the crunch they have in disposable income. So we're mostly focused on trying to have more affordable products and sizes to the consumers. And there might be an occasional tweak in some prices, but mostly, we remain on having a stable price environment here in Mexico.

Operator

And our next question comes from Luca Cipiccia of Goldman Sachs.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

Most of my doubts were already answered but just a quick follow-up on Mexico. You commented on sequential improvement in volumes in the second quarter. I don't think I got, however, if you quantified this or not. I remember in the first quarter, you said the volumes were down 6%. I was just hoping to understand whether you will put a number into the second quarter performance as well as since the end of the quarter, or you will just maintain -- whether you continue to see this marginal sequential improvements as you move forward.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, we're moving from a 6% drop to a 3% drop in the second quarter. And yes, week-by-week, we're seeing a little improvement. So we cannot say that the economy is already on another speed, but we're seeing that it's slightly improving.

Luca Cipiccia
Goldman Sachs Group Inc., Research Division

And just to complement on this. I mean, you remain quite cautious, you said, on the consumer in general. But is it fair to think that, ultimately, compared to how the year has started, things are tracking maybe better than your earlier expectations? Just want to understand how confident...

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

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Yes, we -- to tell you the truth, we were not very clear on our expectations because this was a new tax that basically affected some categories, and we didn't know how the consumer was going to, at the end of the day, divide their disposable income among the different categories. And I'd say that we've navigated in the right way, but it's still sort of an uncharted territory, and we need more time to understand where we're going to end with all of this. We and many of the companies are using a lot of strategies to try to get back with the consumer in the most efficient way. And I think we still need I would say the rest of the year to see how the dust settles.

Operator

And our next question comes from Eric Ollom of Citi.

Eric Ollom

Just a couple of questions. The Canada Bread deal, it's about 5 weeks of consolidation. Can you just tell us what were -- if you can, what were the revenues and the EBITDA associated with that? And secondly, just given the generally bearish outlook on wheat prices, can you just kind of tell us what your expectations are on the benefit to the company from that?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

On the Canadian operation, I would say that it is in line with what we mentioned at the original announcement. So things are playing around the original scenario. And on the second question, the -- on the wheat side, as Guillermo mentioned before, we are basically hedged for the remainder of the year and so we're not capturing any changes in the past months.

Eric Ollom

Okay, great. So you're really not looking to change policy from the 3 to 9 month time frame?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

No, that's something that we -- I think we'll stick with it 4 to 9 months, I would say, for a long period in time. That's basically our policy.

Operator

And our next question comes from Luis Miranda of Santander.

Luis Miranda Valenzuela
Santander Investment Securities Inc., Research Division

Just a couple of follow-up questions. The first one is on Mexico. Daniel, I don't know if you could give us some color with regard to the sequential recovery you're seeing in the second quarter, if there is any material change that pops up regarding the region, the northern or the south part of Mexico and within the channels, if there's a differentiated performance. And a follow-up on the integration cost. As Doug was saying [ph], you accelerated some of the projects, but I couldn't understand if that meant that second half of the year would lead to lower-than-expected or were lower-than-expected charges or you could see also acceleration from price [ph] that were aimed in 2015 that could lead to stable charges during the year?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Yes, Luis. On the volumes, let me tell you that we are seeing -- I would say that the best region for us is the south part of Mexico. North, we've seen a pickup in some markets, in some regions of the north, and the central part was the area that was the most affected one. And we're starting to see a pickup in that central region of Mexico City metropolitan area in the past weeks. If you go by channel, you would say that the most affected one was the small mom-and-pop channel, but that's something that we're starting to see also a little bit more confidence. The fiscal reform was something that really confused a lot of the

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small retailers, and as time has passed, they're starting to have a more confidence and starting to behave in a more normal way. So I would say that's basically the tone that we have. And now, I'll pass the other one to Guillermo Quiroz.

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

I would say, the answer is yes, we are expecting lower integration cost for the second half of the year. Regarding the plans we have today, I think that during the following month, August, we will be having our annual planning meeting. And we might be considering them according to the actual situation of the company, the actual performance if we have the opportunity to be more -- to be faster in anticipating the -- some of the restructuring processes that were planned for 19 -- I mean, for 2015. So budget is now being followed, which means that we are very close to the end of it, but we might be considering additional opportunities to be addressed during this year in anticipation of 2015.

Operator

And our next question comes from Diego Mejía of HSBC.

Diego Mejía Cárdenas

Just a follow-up on Mexico. I believe you commented a little bit about some initiatives that you have pursued in order to try to foster for a volume recovery in Mexico. Can you just go -- give us maybe some more details of what is that you're trying to do on that front? And another question regarding the cost outlook, if there are any benefits, if you would be considering to transfer some of it to the consumer in order to take the benefits from a volume perspective?

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

Well, basically, we mentioned the things that we're focused on. So I would say that we're trying -- we have, as you know, a segmented channel strategy here in Mexico, and we're focusing on each unit trying to take advantage of the opportunities that are in that channel. And that's going well, and we're still pursuing opportunities to improve our presence in small mom-and-pop channel. We are also launching new SKUs. There are some that have some potential that are still in the early stages, and I would say that's basically the focus. On the cost saving side, the initiatives are the ones that we started with from the beginning of the year. We're not relaxing them and the performance, as I mentioned, was a good performance, and we're expecting that the units continue to meet their goals albeit with a better performance in volume.

Operator

And our next question comes from Fernando Olvera of BBVA.

Fernando Olvera Espinosa de los Monteros
BBVA Research SA

I just want to ask you about your tax rate. What effective tax rate are you expecting for the second half of this year? And what would be a reasonable tax rate for the coming years?

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

For the rest of the year, we are expecting a 40% rate. And for the following, I think that's a tougher question because -- as the tax rate is expressed on percentage of pretax earnings, then as our earnings get better or higher during the following years, then the special impacts that are pushing our rate up would be representing a smaller percentage of the pretax. So 40% is fairly clear to me, but I wouldn't bet on the following years. I suppose they should, as our results get better, the tax rate expressed as a percentage should be going a bit to a lower place.

Fernando Olvera Espinosa de los Monteros

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BBVA Research SA

Okay. So also a 40% tax rate would be reasonable to consume for the following years or...

Guillermo Jorge Quiroz Abed
Chief Administration & Financial Officer and Member of Advisory Board

No, no. I think -- I'm expecting following year to be lower than that. Scenario for this year is going close to 40%, but I wouldn't bet on the following years. It should get lower than 40%.

Operator

And this concludes our question-and-answer session. I would like to turn the conference back over to management for any closing remarks.

Daniel Javier Servitje Montull
Chairman, CEO & Member of Advisory Board

So thank you, all, for your time today, and please do not hesitate to contact us with any further comments or questions that you might have, and we look forward to speaking with you soon.

Operator
The conference has now concluded. Thank you for attending today's presentation. You may now disconnect your lines.

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